

GUIDE 07 · RISK & LIQUIDITY

Risks, Liquidity & What to Watch.

An honest look at the trade-offs of private markets – the risks that matter most, why liquidity is different, and how to stay clear-eyed.

An educational guide to the trade-offs behind private markets returns.

HeadOverSea

01 The trade-off at the heart of it

Private markets can reward patience — but that reward comes precisely because your capital is committed, illiquid, and dependent on skilled management.

There is no free lunch. The very features that can generate attractive returns — long horizons, private ownership, active management — are also the source of the main risks. Understanding that bargain is the foundation of investing wisely here.

THE HONEST SUMMARY

You accept less liquidity and more manager dependence in exchange for the potential of stronger, less-correlated returns.

THE THREE DEFINING TRADE-OFFS

01

Illiquidity

Capital is committed and can't be sold on demand like a public stock.

02

Long horizons

Value is created over years — results take time to appear.

03

Manager dependence

Outcomes rely heavily on the skill and discipline of the manager.

02 Understanding liquidity

Liquidity is the single biggest difference between private and public investing. In private markets, getting your money back follows a schedule — not a click.

WHY IT'S LOCKED

Capital is committed

Managers need time to buy, improve and sell assets. Locking up capital is what lets them execute a multi-year plan without forced selling.

HOW IT RETURNS

Cash comes back in stages

You receive capital through distributions — as income is earned and assets are sold — rather than by redeeming on demand.

PLAN AROUND IT

Only commit capital you can leave untouched for the fund's life, and keep enough liquid assets to meet your everyday needs.

03 The risks that matter

Every investment carries risk. In private markets, a handful deserve particular attention — and each can be managed.

RISK	WATCH LEVEL	HOW TO MANAGE IT
Liquidity risk	HIGH	Size commitments so you never need locked-up capital in a hurry.
Leverage risk	MODERATE	Understand how much borrowing a strategy uses, and favour disciplined managers.
Valuation risk	MODERATE	Private assets are valued periodically; judge managers on realised results too.
Concentration risk	VARIES	Diversify across strategies, vintages and managers rather than one big bet.

MANAGEABLE WITH CARE

REQUIRES REAL DILIGENCE

04 How to stay clear-eyed

Good outcomes in private markets come less from luck than from discipline. A few habits protect investors from most avoidable mistakes.

Read the terms

Know the lock-up, fees, and how and when capital is called and returned.

Size sensibly

Commit only what you can leave untouched for the full term.

Diversify

Spread capital across strategies, vintages and managers.

Judge the manager

Weigh track record, alignment and honesty above marketing.

RED FLAGS TO WATCH FOR

 Vague strategy

If a manager can't explain plainly how they make money, be cautious.

 Pressure to commit

Sound investing rarely requires rushing a decision.

 Opaque fees

You should be able to see exactly what you pay and why.

 No skin in the game

Be wary if the manager isn't investing their own capital too.

REFERENCE

05 Key terms, in plain language

Liquidity

How easily an investment can be turned into cash.

Illiquidity premium

The extra return investors may earn for accepting locked-up capital.

Leverage

Borrowed money used to fund investments; it magnifies gains and losses.

Valuation

The estimated worth of a private asset between transactions.

Concentration

Having too much exposure to a single investment or bet.

Lock-up

The period during which capital cannot be withdrawn.

Distribution

Cash returned to investors from income and asset sales.

Alignment

When a manager's incentives match the investor's interests.

IMPORTANT INFORMATION

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Private markets investments involve significant risks, including the potential loss of capital, limited liquidity, long holding periods, the use of leverage, and reliance on the manager's execution. Past performance does not predict or guarantee future results, and there can be no assurance that any strategy will achieve its objectives. Investors should consider their own circumstances and consult professional advisers before investing.



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